

Contract Practice and Administration

MRICS & AIQS APC Coaching Programme

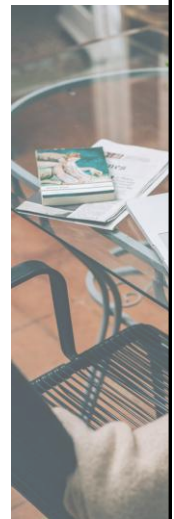


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Agenda

- What is a Contract?
 - Express terms
 - Implied Terms
 - Incorporated Terms
- Prerequisites to form a contract
- Contract documents, Rights and Obligations
- Priority of Documents
- Differences between terms
- Standard forms of Contract
- Legislation
 - General vs Mandatory Provisions
 - Key differences between FIDIC 1987 vs 1999 vs 2017
- Assignment and Novation
- Letter of intent
 - Types of LOI
 - Quantum merit principles
- Letter of Acceptance
- Privity of Contract
 - Collateral warranty
- Performance Securities
 - Alternatives to Performance Securities
- Advance Payments
- Insurances
 - Types of Insurances
 - Administrating Insurance claims
- Interim valuations & payments
- Material on and off site
 - Vesting certificates
- Retention
- Change Management
- Extension of Time
 - EOT procedure
 - Types of Delays
 - Prolongation costs
 - Formulas used for HO overheads
- Types of Claims
- Know the difference – Variation vs Claim
- Named and Nominated Subcontractor
- Sectional completion / Partial possession
- Consequences of issuing the TOC.
- Provisional sum
- Determination vs Termination
- Force majeure vs Frustration
- Suspension and Termination
- Final Account and Completion
- Liquidated and Ascertained Damages
- Defects Notification (Liability) period
- Study Check list
- Recap



About the Competency (RICS)

Mandatory competencies	Core competencies	Optional competencies
Level 3 - Ethics, Rules of Conduct and professionalism Level 2 - Client care - Communication and negotiation - Health and safety Level 1 - Accounting principles and procedures - Business planning - Conflict avoidance, management and dispute resolution procedures - Data management - Diversity, inclusion and teamworking - Inclusive environments - Sustainability	Level 3 - Commercial management (of construction works) or Design economics and cost planning* - Construction technology and environmental services - Contract practice - Procurement and tendering - Project finance (control and reporting) - Quantification and costing (of construction works)	Two to Level 2 - Capital allowances - Commercial management (of construction works) or Design economics and cost planning (whichever is not selected as core competency) - Conflict avoidance, management and dispute resolution procedures or Sustainability - Contract administration - Corporate recovery and insolvency - Due diligence - Insurance - Programming and planning - Project feasibility analysis - Risk management * Candidates working in a commercial or contracting environment will likely choose Commercial management to Level 3. Candidates working in a consulting environment within either the public or private sector will likely choose Design economics and cost planning to Level 3.

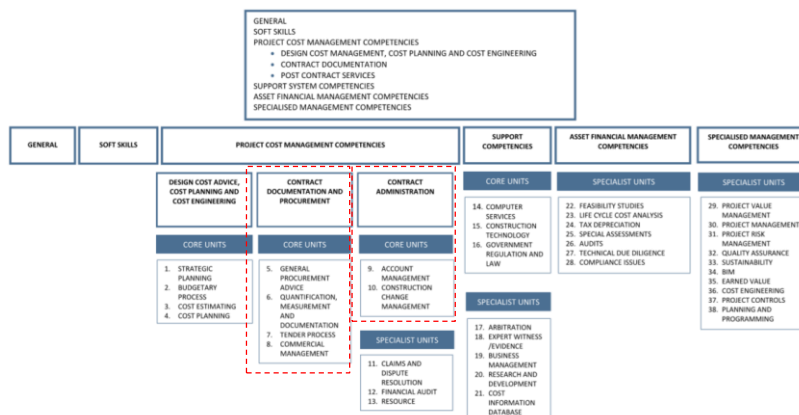
Difference between Contract Administration vs Contract Practice.

Contract Practice - Deals with the **preparation, drafting, and understanding of contracts before they are executed**.

Contract Administration - Concerned with managing the contract **after it has been signed, ensuring compliance and resolving issues during the project**.

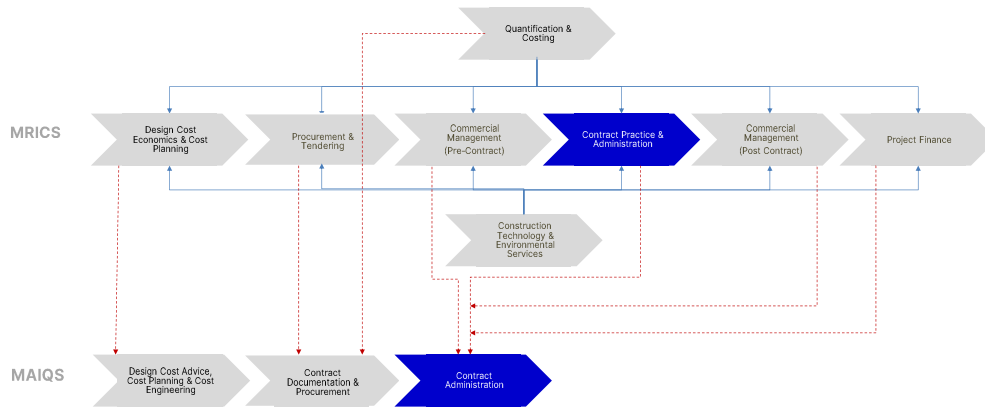
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About the Competency (AIQS)



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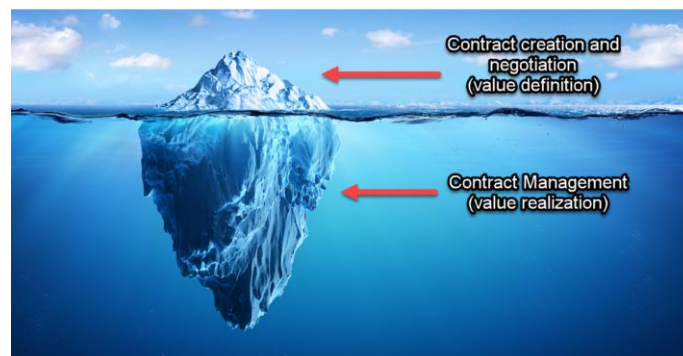
Competency Mapping MRICS vs MAIQS



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Before we Begin

Contract practice, administration, and law are like an iceberg floating on the ocean: little is exposed while much remains hidden.



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What is a Contract

- A legally binding agreement with specific terms, that are agreed between two or more parties which has promise on performing certain task and against receiving a benefit for performing the task.
- A contract can be either written or oral (**exception** : contracts concerning property transactions **shall** be in writing)
- **Terms of the Contract** – terms forming part of a contract can be either in a form of;
 - **Express terms** – T&C that are specifically agreed upon by the parties
 - **Incorporated terms** – T&C that are by notice or by cause dealings (LC Payments etc)
 - **Implied terms** – terms which are not express, but are assumed to be enforceable under the law.(decennial liability)

Prerequisites to form a Contract

- Offer
- Acceptance
- Consideration
- Intention to create legal relations
- Legal capacity
- Legality
- Good faith and fair deal

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Prerequisites to form a Contract

- **Offer** – expression of the willingness enter into a contract detailing what would be provided. Can be either written, oral or by conduct. (Person making the offer – **offeror**, person receiving the offer – **offeree**)
- **Acceptance** – Unconditional acceptance by the offeree to the offeror. If the acceptance is **conditional** then it becomes a **counter offer**, which the **offeror need accepting** to form a contract. Silent by the offeree is not generally considered as acceptance.
- **Consideration** – the benefit (monitory or any other) to be provided by the offeree in return to the offeror performing is offer.
- **Intention to create legal relations** - the parties must intend to enter into a legally binding arrangement in which the rights and obligations of the agreement are enforceable.
- **Legal capacity** – Capacity of the parties that are entering into a contract (Minors incapacitated and mentally cannot enter into a contract)
- **Legality** – The contract should be on performing a legally acceptable work/promise.
- **Good faith and fair deal** - parties to a contract will deal with each other honestly, fairly, and in good faith

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Obligations & Rights

Obligations and Rights

	Obligations	Rights
Employer	Provide Access and Possession of the Site (Clause 2.1); Appoint the Engineer (Clause 2.1) Provide Financial Evidence (Clause 2.4); Payment Obligations (Clause 14); Approval and Assistance (Clause 2.2);	Audit Financial Records (Clause 2.5); Terminate the Contractor's Employment (Clause 15); Approve or Reject Variations;
Contractor	Execute the Works (Clause 4.1); Provide Performance Security (Clause 4.2); Submit Work Program (Clause 8.3); Obtain Required Approvals (Clause 4.6); Comply with Laws (Clause 4.18); Insurance (Clause 18); Care of the Works (Clause 17.2); Report Delays and Claims (Clause 20.1);	Receive Payments (Clause 14); Receive Payments (Clause 14); Suspend Work (Clause 16.1); Terminate the Contract (Clause 16.2); Variation Requests (Clause 13.2);

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Obligations & Rights

	Obligations	Rights
Engineer	Act Impartially (Clause 3.5); Administer the Contract (Clause 3.1); Issue Instructions (Clause 3.3); Certify Payments (Clause 14.6); Approve Variations (Clause 13); Inspect and Test the Works (Clause 7.4); Resolve Disputes (Clause 3.5);	Delegate Duties (Clause 3.2); Access to Works (Clause 7.1); Request Submissions;
Employer, Contractor & Engineer		Key Interactions Dispute Resolution (Clause 20.4); Force Majeure (Clause 19);

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Contract Documents

Contents of Contract document

Best practice – include it in volumes. (Specimen only, may vary contract to contract)

- Volume 1 – Contract agreement, form of tender, Instructions to tenderers, CoC, Appendix to tender.
- Volume 2 – Specifications
- Volume 3 – Drawings
- Volume 4 – BOQ and any other documents

Contract documents vs Tender Document

- Contract agreement, LOA, Tender addendums, PTCs are added to the Contract.

Priority of documents

In event that various provisions of the Contract conflicts each other, it shall be resolved based on the priority of the documents. This is a proactive measure to safeguard against the risk of disputes.

FIDIC 1987 Red Book	FIDIC 1999 Red Book	FIDIC 2017 – Red Book
(1) The Contract Agreement (if completed); (2) The Letter of Acceptance; (3) The Tender; (4) Part II of these Conditions; (5) Part I of these Conditions; and (6) Any other document forming part of the Contract.	(a) the Contract Agreement (if any); (b) the Letter of Acceptance; (c) the Letter of Tender; (d) the Particular Conditions; (e) these General Conditions; (f) the Specifications; (g) the Drawings; and (h) the Schedules and any other documents forming part of the Contract.	(a) the Contract Agreement; (b) the Letter of Acceptance; (c) the Letter of Tender; (d) the Particular Conditions Part A – Contract Data; (e) the Particular Conditions Part B – Special Provisions; (f) these General Conditions; (g) the Specifications; (h) the Drawings; (i) the Schedules; (j) the JV Understanding (if the Contractor is a JV); and (k) any other documents forming part of the Contract.

Priority of documents

Know the Difference

- **Discrepancies** - two deferent requirement stated for the same aspect (example : spec says concrete at 150mm and the drawings says 200mm) - resolve through priority of documents.
- **Ambiguity** – there is no information found in the contract related to certain aspects (thickness of the concrete is unavailable in any of the documents forming part of the Contract.
- **Contra preferentum rule** – Rule that deals with ambiguities where it will be resolved in least favorable way to the party who drafted the contract.
- **Article 226 (Doubts – Discrepancies / Amiabilities)**
 - (1) A doubt shall be resolved in favour of the obligor. (Obligor – a person who owes or undertakes an obligation to another by Contract.

FIDIC 1999 Red Book (General CoC)	FIDIC 1999 Red Book (Particular CoC)
(a) the Contract Agreement (if any) (b) the Letter of Acceptance, (c) the Letter of Tender (d) the Particular Conditions (e) these General Conditions (f) the Specifications (g) the Drawings, and (h) the Schedules and any other documents forming part of the Contract. If any ambiguity or discrepancy is found in the documents, the Engineer shall issue any necessary clarification or instruction.	Delete sub-paragraphs (a) to (h) and replace with the following (a) the Contract Agreement (if any) (b) the Particular Conditions (c) the General Conditions (d) the Value Engineering Schedule forming part of the Employer's Requirements, (e) the agreed Post Tender Clarification Schedule (f) the remainder of the Employer's Requirements (g) the specifications (h) the drawings (i) the Bill of Quantities, and (j) the schedules and any other documents forming part of the Contract. Delete the last paragraph and replace with : "If an ambiguity or discrepancy is found in or between the documents, the Engineer shall issue any clarification or instruction required. Moreover, any difference between the requirements of the Drawings and the Employer's Requirements or any differences noted within the Drawings or Employer's Requirements themselves shall be referred to the Engineer who shall issue instructions to the Contractor as to what manner the Works have to be carried out. If any such ambiguity, discrepancy or difference is between or within documents originally forming part of the Contract, such instruction shall be carried out at the Contractor's cost. "

Assignment of the Week

- All candidates who have completed Procurement & Tendering Levels 1 to 3 and Commercial Management Levels 1 to 3 are required to **complete Project Finance Control & Reporting Levels 1 to 3.**
- Make use of the recording and study notes available in the portal, while completing your SOE.

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Recap

1. What is a Contract?
 - Express terms
 - Implied Terms
 - Incorporated Terms
2. Prerequisites to form a contract
3. Contract documents, Rights and Obligations
4. Priority of Documents
5. Assignment for the Week



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End of Part 1



Thank YOU

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